

Calendar Line 8

Case Name: *Moses Veyu vs COVENANT CARE CALIFORNIA, LLC*

Case Number: 24CV448116

Plaintiff moves the Court for an Order Vacating the Joint Stipulation and Order to Stay Case Pending Arbitration pursuant to CCP §1281.98 and for an award of monetary sanctions pursuant to CCP §1281.99. Plaintiff's motion is DENIED.

Fees were due on April 28, 2025. By all accounts, JAMS had the money on April 30, 2025. Plaintiff declares that the fees were "submitted" on April 30, 2025. (Koulloukian Decl., at ¶ 9.) Plaintiff's evidence, however, shows the fees were "posted" on that date. (Koulloukian Decl., at Exh. 5.) The transition of a transaction from "pending" to "posted" does not resolve the pertinent question. Section 1281.98, subd. (a) looks to when the fees are "paid." Payment is generally effectuated when the remittance gets into the hands of the creditor. (See *Cornwell v. Bank of Am.* (1990) 224 Cal.App.3d 995, 999; *Doe v. Superior Court* (2023) 95 Cal.App.5th 346, 358 ["If ... fees are not received by the conclusion of the statutory grace period, an employee may immediately elect to pursue options for relief."].) Defendant has presented evidence that JAMS received payment on April 25, 2025. In Reply, Plaintiff criticizes the location to which Defendant delivered the fees. While JAMS indicated Defendant "may" use one of the three payment options described in its April 14, 2025 email, Defendant cannot be faulted for delivering payment by overnight mail to the address listed and as expressly described on the invoice itself. The Court finds Defendant timely paid fees.

Regardless, by enacting section 1281.98, "the Legislature sought to deter companies and employers from engaging in *strategic* nonpayment of arbitration fees; we find no indication that it intended to strip companies and employers of their contractual right to arbitration where nonpayment of fees results from a good faith mistake, inadvertence, or other excusable neglect." (*Hohenshelt v. Superior Court*, 2025 Cal. LEXIS 4936, *4.) "[W]hen it appears that [the party] has acted in good faith, given some reasonable excuse for the delay, and thereafter tendered performance promptly and with reasonable diligence," equity can excuse nonperformance so long as the breaching party can and does "adequately compensate[]" the nonbreaching party for any harm caused by the delay." (*Id.*, at *23, quoting (*Hopkins v. Woodward* (1932) 216 Cal.619, 622.)

Under any interpretation of Defendant's evidence, it acted in good faith, tendered performance promptly and with reasonable diligence, and Plaintiff has suffered no harm from the alleged delay. If indeed JAMS received the fees no sooner than April 30, 2025, Defendant caused the fees to be delivered by overnight mail on April 24, 2025 (four days before they were due) and sent them to the address listed for overnight delivery on the invoice, this is a good faith mistake, inadvertence, or other excusable neglect. It is difficult to attribute any fault to Defendant under these circumstances, but if there is any, it is excusable.

The Court will prepare the final order.

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